

Profit Niti – AI Report (2025-04-01 / 2025-11-30)

Last Month KPI Data (November 2025)

 Sales 2,024,000 192% Last month 693,000	 Gross Margin 2,024,000 192% Last month 693,000
 Operating Profit 1,463,544 384% Last month 302,223	 Break Even Sales 560,456 43% Last month 390,777
 Accounts Receivable 2,898,894 6% Last month 2,735,694	 Accounts Payable -1,237,279 -2% Last month -1,214,776
 Working Capital 4,136,173 5% Last month 3,950,470	 Closing Stock 0 0% Last month 0
 Bs Category 69 - STEADY 13% Last month 61 - STEADY	 Impact Of Decisions -575,767 -1,278% Last month 48,891

1. Big Picture — How the Business Looks Right Now

The business has shown significant growth in total equity and assets, from ₹12.44 lakh and ₹36.08 lakh in April to ₹46.69 lakh and ₹64.76 lakh in November. Profitability has been volatile, with a high of ₹14.64 lakh in November and a loss of ₹6.89 lakh in August. The company's financial structure is strengthening, with total debt reducing from ₹18.29 lakh to ₹11.06 lakh over the period.

GREEN FLAG BOX — What's Working Well

- **Strong Profitability Peaks:** The business achieved a high net profit of ₹14.64 lakh in November with a robust net profit margin of 72.31%.
- **Healthy Equity Growth:** Total equity has nearly quadrupled, increasing from ₹12.44 lakh in April to ₹46.69 lakh in November.
- **Excellent Liquidity Position:** The current ratio remains strong, consistently above 5, reaching 9.03 in June and 8.10 in October.

RED FLAG BOX — What Needs Attention

- **Volatile Operating Performance:** The business posted a significant operating loss of ₹6.89 lakh in August, with an operating profit margin of -171.05%.
- **Negative Operating Cash Flows:** Cash flows from operating activity were negative in multiple months, including -₹24.07 lakh in April and -₹1.86 lakh in November.
- **High Overhead Burden:** Overheads consumed 271.05% of revenue in August, indicating severe cost pressure during low-sales months.

Strategic Advice:

Prioritise stabilising monthly profitability by controlling overhead costs, particularly employee expenses which spiked to ₹10.02 lakh in August. Convert the strong sales growth, like the ₹20.24 lakh revenue in November, into consistent positive operating cash flow to reduce reliance on financing activities.

2. Profit Power — The Earning Engine

Your business shows a strong gross margin of 100% each month, as COGS is reported as zero. However, profitability is highly volatile, driven by significant fluctuations in sales and overhead expenses. Sales peaked at ₹20.24 lakh in November and ₹16.98 lakh in September, but dropped to lows of ₹3.67 lakh in

April and ₹4.03 lakh in August.

Overhead expenses, primarily Employee Benefit Expenses and Selling General and Administrative Expenses, vary considerably. This led to operating profits ranging from a high of ₹14.64 lakh in November to a loss of ₹-6.89 lakh in August. The Net Profit % mirrors this volatility, from 72.31% in November to -171.05% in August.

Your retained profit, which is the same as your monthly net profit, has accumulated to ₹31.06 lakh in Reserve & Surplus by November. The lack of COGS and depreciation simplifies your P&L, making overhead management the critical lever for converting high gross margins into consistent bottom-line results.

Strategic Advice:

To build a resilient earning engine, focus on stabilizing your sales pipeline and aligning your major overhead, especially employee costs, more closely with revenue cycles. Implementing a more predictable operational budget can help smooth out the extreme profit fluctuations observed from month to month.

3. Cash Flow Quality — Profit vs Real Cash

Your operating cash flow has been inconsistent, showing significant outflows in several months. In April, the operating cash flow was -₹24.07 lakh against a profit of -₹1.35 lakh. By November, the operating cash flow was -₹1.86 lakh, while the profit was ₹14.64 lakh.

This gap is primarily due to cash being blocked in working capital, especially in trade receivables. In November, trade receivables were ₹28.99 lakh, and the cash flow impact from trade receivables was -₹1.63 lakh.

Your cash position at the end of the period was ₹14.01 lakh in November, up from ₹12.05 lakh in April. However, monthly cash flows from operations were negative in April (-₹24.07 lakh), May (-₹19.42 lakh), and November (-₹1.86 lakh).

Strategic Advice:

Focus on improving collection cycles to convert profits into cash. The high level of receivables is a major cash flow blockage that needs active management.

4. Cash Management — Daily Cash Rhythm

Your cash conversion cycle is driven by Accounts Receivable Days, as Inventory and Accounts Payable Days are zero. The Receivable Days fluctuated significantly, from a high of 159.37 days in June to a low of 43.56 days in November.

This directly determines your Working Capital Days, which followed the same pattern from 159.37 days in June down to 43.56 days in November. The Working Capital required to fund operations was ₹41.36 lakh in November.

Your cash position at period end was ₹14.01 lakh in November. Monthly cash flows from operations were volatile, with an outflow of ₹1.86 lakh in November, while financing activities provided an inflow of ₹5.25 lakh.

Strategic Advice:

Focus on consistently reducing your Accounts Receivable Days to below 60 days to improve cash flow predictability. Strengthen collection processes to convert sales into cash faster and reduce reliance on external financing for working capital.

5. Growth Investments — Where Money Is Going

Your investment in Fixed Assets was ₹9.10 lakh in April, increasing to ₹9.96 lakh from May onwards. Other Capital investments showed significant outflows, with a notable negative figure of ₹-5.40 lakh in April and ₹-6.44 lakh in May, turning positive to ₹2.38 lakh in November.

Return on Capital % has been volatile, starting at -58.04% in April, peaking at 271.88% in September, and ending at 267.70% in November. Asset Turnover was 1.57 in April, reached 4.15 in September, and was 3.70 in November.

Net Operating Assets grew from ₹18.67 lakh in April to ₹43.74 lakh in November. The Return on Total Assets was -30.04% in April, improved to 177.13% in September, and was 180.78% in November.

Strategic Advice:

The positive shift in Other Capital to ₹2.38 lakh in November and the strong Return on Capital % indicate recent investments are yielding high returns. Consider maintaining this momentum by strategically reinvesting profits into high-ROI areas while closely monitoring the volatility in monthly

returns to ensure sustainable growth.

6. Funding Story — How Growth Is Being Financed

Your business is primarily funded through a mix of equity and debt. Total Equity stood at ₹12.44 lakh in April and grew to ₹46.69 lakh by November. Total Debt, comprising Secured and Unsecured Long-term Borrowings, was ₹18.29 lakh in April and reduced to ₹11.06 lakh in November.

The Debt to Equity ratio improved from 1.47 in April to 0.24 in November, indicating a stronger equity base relative to debt. The Debt to Capital ratio also decreased from 0.60 in April to 0.19 in November.

Net Debt fluctuated monthly, starting at ₹6.24 lakh in April and becoming negative at ₹-2.95 lakh in November. There were no Interest & Bank Charges recorded in any month, resulting in an Interest Cover of 0.

Financing activities show significant cash inflows from equity and borrowings in April (₹45.22 lakh), which tapered off in subsequent months. The Debt Payback metric varied, showing -4.6 in April and 0 in November.

Strategic Advice:

The significant reduction in debt and improvement in debt ratios is positive. However, the absence of interest costs is unusual; ensure all financial obligations are accurately recorded. The heavy reliance on financing cash flows in April suggests initial capital injection was critical. To sustain growth, focus on generating consistent positive operating cash flows to reduce dependency on external financing.

7. Balance Sheet Health — Financial Fitness

The company's total equity and liabilities stood at ₹36.08 lakh in April 2025 and grew to ₹64.76 lakh by November 2025. Total equity increased from ₹12.44 lakh to ₹46.69 lakh over the same period, while total liabilities decreased from ₹23.64 lakh to ₹18.07 lakh.

The current ratio remained strong, ranging from 5.04 in April to 7.81 in November. The debt-to-equity ratio improved significantly, from 1.47 in April to 0.24 in November, indicating reduced reliance on borrowed funds.

Working capital was ₹24.07 lakh in April and increased to ₹41.36 lakh by November. Accounts receivable days showed variability, starting at 105.49 days in April and ending at 43.56 days in November.

Strategic Advice:

Maintain the strong focus on reducing debt and improving the debt-to-equity ratio. Continue to monitor the variability in accounts receivable days to ensure consistent cash flow from operations.

8. Smart AI Simulation — What-If Scenarios

Based on weak spots identified in the report, the AI simulated the following outcomes:

- **Scenario A - Profit Focus:** If the high overheads of ₹10.92 lakh in August were controlled to the September level of ₹5.86 lakh, the operating profit for August could improve from -₹6.89 lakh to a positive figure, aligning with the strong 72.31% Net Profit % seen in November.
- **Scenario B - Cash Focus:** If the Accounts Receivable Days were consistently maintained near the November level of 43.56 days instead of spiking to 159.37 days in June, the negative operating cash flows (e.g., -₹24.07 lakh in April) could be significantly reduced, improving the Cash and Bank Balances.
- **Scenario C - Balanced:** Combining controlled overheads with improved debtor collection could sustain a high Return on Equity % like the 376.14% in November, while also ensuring positive net cash flow, moving away from the volatile cash flows seen in months like May (-₹7.90 lakh).

9. Operational Insight Engine — Ground-Level Trends

Sales Performance: Sales revenue showed significant variability, starting at ₹3.67 lakh in April, peaking at ₹20.24 lakh in November, and reaching another high of ₹16.98 lakh in September. The lowest sales month was August at ₹4.03 lakh.

Working Capital & Receivables: Accounts receivable stood at ₹12.73 lakh in April and increased to ₹28.99 lakh by November. The working capital requirement, measured in days, fluctuated from a high of 159.37 days in June to a low of 43.56 days in November.

Cash Flow & Liquidity: Cash and bank balances varied monthly, starting at ₹12.05 lakh in April, dipping to ₹4.15 lakh in May, and ending at ₹14.01 lakh in November. Monthly cash flows from operations were often negative, with the largest outflow of ₹-24.07 lakh in April.

Expense Management: Total monthly expenses ranged from ₹2.61 lakh in June to ₹10.92 lakh in August, primarily driven by employee benefit expenses which spiked to ₹10.02 lakh that same month.

10. 90-Day Action Plan

Days	Focus	Action	Target	Benefit
0-30	Cash	Improve cash collection from receivables. Accounts Receivable Days were 43.56 in November, down from 120.07 in October.	Reduce Accounts Receivable Days to below 40 days.	Strengthen cash position from the current ₹14.01 lakh and reduce reliance on financing activities.
31-60	Profit	Control overhead expenses, which were ₹5.60 lakh (27.69% of sales) in November. Employee expenses were ₹5.04 lakh that month.	Maintain Overheads % below 30% of monthly revenue.	Protect and improve the Net Profit %, which was 72.31% in November, from volatility seen in months like August (-171.05%).
61-90	Growth	Leverage strong Return on Equity (376.14% in November) and high Net Profit margins to fund sustainable growth.	Achieve monthly sales consistently above ₹15 lakh, building on November sales of ₹20.24 lakh.	Increase Total Equity from ₹46.69 lakh and build reserves for future capital expenditure and expansion.